

Industrial Metal Returns

- Jacobsen, Marshall, and Visaltanachoti (2013): *“Price movements in industrial metals, such as copper and aluminum, predict stock returns worldwide. Increasing metal prices are good news for equity markets in recessions and bad news in expansions. Industrial metals returns forecast changes in the economy and information gradually diffuses from metals to stocks through both the discount rate and cash flow channels. Out-of-sample R^2 's are as high as 9%.”*⁶

Oil Shocks and Market Returns

- Kilian and Park (2007): *“It is shown that the reaction of U.S. real stock returns to an oil price shock differs greatly depending on whether the change in the price of oil is driven by demand or supply shocks in the oil market. The demand and supply shocks driving the global crude oil market jointly account for 22% of the long-run variation in U.S. real stock returns.”*⁷

Market-Wide Earning-Return Relation

- Sadka (2009): *“This paper studies the effects of predictability on the earnings–returns relation for individual firms and for the aggregate. We demonstrate that prices better anticipate earnings growth at the aggregate level than at the firm level, which implies that random-walk models are inappropriate for gauging aggregate earnings expectations.”*⁸

Cyclically Adjusted PE Ratio (CAPE)

- Campbell and Shiller (1998): *“The price-smoothed earnings ratio...is a good forecaster of ten-year growth in stock prices, with an R^2 statistics of 37%.”*
- Siegel (2013): *“The CAPE ratio was calculated by taking a broad-based index of stock market prices, such as the S&P 500, and dividing by the average of the last ten years of aggregate earnings, all measured in real terms. The CAPE ratio was then regressed against the future ten-year*